Type MS · Total cost from fixed and variable costs

Answer 1 of 7 · Question 1 part e · 2 marks

2022 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Niche marketing** **A –** this is not correct because it is a form of promotion to the whole market **C** – this is not correct because it is a percentage that the business has of a specific market **D** – this is not correct because it is the activity of gathering information about conditions affecting a market	**(1)**

Question Number	Which **one** of the following is a financial aim for a business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - Survival** **B –** this is not correct because it is a non-financial aim **C –** this is not correct because it is a non-financial aim **D –** this is not correct because it is a non-financial aim	**(1)**

Question Number	Which **one** of the following is a variable cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Raw materials** **A** – this is not correct because it is a fixed cost **B** – this is not correct because it is a fixed cost **C** – this is not correct because it is a fixed cost	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 1 of 7 · Question 1 part e · 2 marks

2022 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is a role of the production function? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B – Quality control** **A –** this is not correct because it is a role of the human resources function **C –** this is not correct because it is a role of the marketing function **D –** this is not correct because it is a role of the human resources function	**(1)**

Question Number	Which **one** of the following is the markup on the packs of balloons? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 134.72** % **A –** this is not correct because it is the cost of the balloon pack **B –** this is not correct because it is the profit of the balloon pack **C –** this is not correct because it is the profit x cost of the balloon pack	**(1)**

Question Number	Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is D – 206.18 MYR** **A –** this is not correct because it is the price of one balloon pack **B –** this is not correct because it is the price of four balloon packs in Singapore Dollars divided by 3.05 **C –** this is not correct because it is the price of four balloon packs	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 1 of 7 · Question 1 part e · 2 marks

2022 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of primary sector. • The extraction of raw materials from the earth **(1)**.	**(1)**

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • When the average unit cost increases due to the growth of a business **(1).**	**(1)**

Question Number	State **one** factor *TBTS* should consider when selecting its manufacturers. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a factor *TBTS* should consider when selecting its manufacturers in the context of *TBTS*. • *TBTS* should select manufacturers that produce toys in an environmentally friendly way **(1)**. **NB** Do not accept a factor that is not in the context of *TBTS* **Accept any other appropriate response.**	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 1 of 7 · Question 1 part e · 2 marks

2022 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Calculate the total costs for *TBTS*. **Answer**	**Additional guidance**	**Mark**
1 (e)	Calculate the total costs for *TBTS*. **A02 - 2 marks** 555.31 + (0.93 x 160) **(1)** = 704.11 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage of being a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of being a sole trader, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Sole traders have full control of their business **(1)** this means they can run the business how they want **(1)** without having to consult with anyone when making decisions **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 1 of 7 · Question 1 part e · 2 marks

2022 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Analyse the likely impact of external factors on business decisions made by *TBTS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social factors can help *TBTS* as changes in society shows customers might be demanding more environmentally friendly toys • Technological advances could increase the cost of buying or the price of a range of toys **AO3** • This will make TBTS more competitive and bring more customers into the toy shops as they are acting in a responsible way for the environment whilst selling high quality goods • If the technology in toys increases rapidly then TBTS could be left with unwanted stock as customers buy the newer toys	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Total cost from fixed and variable costs

Answer 1 of 7 · Question 1 part e · 2 marks

2022 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	State **one** way *TBTS* can measure its success as a business **Answer**	Mark

Type MS · Total cost from fixed and variable costs

Answer 2 of 7 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 2 of 7 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 2 of 7 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 2 of 7 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a.vi in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Total cost from fixed and variable costs

Answer 2 of 7 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark

Type MS · Total cost from fixed and variable costs

Answer 3 of 7 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 · extract 1 of 5 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 3 of 7 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 3 of 7 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Total cost from fixed and variable costs

Answer 3 of 7 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part a.v in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Total cost from fixed and variable costs

Answer 3 of 7 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark

Type MS · Total cost from fixed and variable costs

Answer 4 of 7 · Question 4 part a · 2 marks

2021 NOV · Paper 01 · extract 1 of 4 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 17.87 x 3 = 53.61 **(1)** 459.50 + 53.61 = 513.11 **(1)**	Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Total cost from fixed and variable costs

Answer 4 of 7 · Question 4 part a · 2 marks

2021 NOV · Paper 01 · extract 2 of 4 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *Artify Studio* can use the existing employees at its Kampong Glam studio to train the new employees. • This gives Tay Hui Jae the chance to see if the new employees are skilled enough to work in the art studio. **AO3** • The new employees can see the work carried out in the art studio and what would be expected of them when the second studio opens up. • This gives Tay Hui Jae the chance to see if the new employees require further training which could be off the job.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Total cost from fixed and variable costs

Answer 4 of 7 · Question 4 part a · 2 marks

2021 NOV · Paper 01 · extract 3 of 4 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • The availability of skilled labour. • The availability of materials available. **AO2** • *Artify Studio* will need to find employees with art-based skills to work at the studio. • *Artify Studio* will need art supplies for its art courses. **AO3** • Finding labour that is already skilled will help *Artify Studio* to progress and expand the range of art-based courses it offers. • The art supplies will allow all of the current courses to be offered at the new art studio so there is consistency between the studios. **AO4** • However, if no skilled labour is available then the impact on the second art studio may be negative as it may not be able to run courses without skilled employees. • However, as they are relocating to a small mining town then they may find it difficult to source the art materials in such a remote area and therefore may not be able to offer its full range of services.	**(12)**

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Type MS · Total cost from fixed and variable costs

Answer 4 of 7 · Question 4 part a · 2 marks

2021 NOV · Paper 01 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Total cost from fixed and variable costs

Answer 5 of 7 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 01 · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as sales is shown on the statement of comprehensive income **B** is not the correct answer as cost of sales is shown on the statement of comprehensive income **D** is not the correct answer as gross profit is shown on the statement of comprehensive income	**(1)**

Question Number	Which **one** of the following is an element of the marketing mix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** **B** is not the correct answer as a partnership is when 2 or more people own a business together **C** is not the correct answer as production is the manufacturing of goods **D** is not the correct answer as profit is the difference between total revenue and total costs	**(1)**

Question Number	**(iii)** Which **one** of the following is the total monthly cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D** **A** is not the correct answer as it is the sum of total fixed costs and variable costs for one unit **B** is not the correct answer as it is the sum of fixed costs plus output quantity **C** is not the correct answer as it is the sum of fixed costs multiplied by the variable cost	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 5 of 7 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 01 · extract 2 of 6 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following job roles is most likely associated with capital-intensive production? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B** **A** is not the correct answer as the role of a hairdresser is labour intensive **C** is not the correct answer as the role of a fruit picker is labour intensive **D** is not the correct answer as the role of a chef is labour intensive	**(1)**

Question Number	Which **one** of the following is an internal source of finance? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as venture capital is an external source of finance **D** is not the correct answer as crowdfunding is an external source of finance	**(1)**

Question Number	Which **one** of the following is the weekly break-even point? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C** **A** is not the correct answer as this represents the wrong fixed costs of 44 000 divided by the contribution of 5 500 **B** is not the correct answer as this represents the fixed costs of 440 000 divided by the selling price of 8 000 **D** is not the correct answer as this represents the fixed costs of 440 000 divided by the variable cost per unit of 2 500	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 5 of 7 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 01 · extract 3 of 6 · find part a.iii in this mark scheme extract

Question Number	Define the term **profit.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • The amount remaining when total costs are deducted from total revenue **(1)**	**(1)**

Question Number	Define the term **span of control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **span of control**. • The number of workers controlled by one manager **(1)**	**(1)**

Question Number	State **one** likely variable cost for *AWG.* **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for one variable cost for *AWG* • *AWG* will have to pay for the cost of wool used to make the jumpers **(1)** **NB** Do not accept a variable cost that is not in the context of *AWG*. **Accept any appropriate response.**	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 5 of 7 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 01 · extract 4 of 6 · find part a.iii in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the new price of the jumper in the promotional sale. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 329 x 0.25 = 82.25 **(1)** 329 - 82.25 = 246.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business that operates as a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business that operates as a sole trader, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Independence of the owner **(1)** which means they can make decision without reference to anyone else **(1)** eliminating any conflicts or disagreements within the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 5 of 7 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part a.iii in this mark scheme extract

Question Number	Analyse the advantages to *AWG* of using e-commerce to sell its products. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *AWG* sells its shirts on-line to customers based in other countries • *AWG* uses a website to advertise its baby clothes to attract new customers **AO3** • This helps create recognition of the business internationally allowing *AWG* to increase its sales revenue. • This helps to reduce the costs for *AWG* as selling online is less expensive than opening stores in other countries.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Total cost from fixed and variable costs

Answer 5 of 7 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 01 · extract 6 of 6 · find part a.iii in this mark scheme extract

Question Number	State **one** non-financial method *AWG* may use to motivate its employees. **Answer**	**Mark**

Type MS · Total cost from fixed and variable costs

Answer 6 of 7 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 · extract 1 of 6 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Age** **A** is not the correct answer as skills are not protected by legislation **C** is not the correct answer as experience is not protected by legislation **D** is not the correct answer as ability is not protected by legislation	**(1)**

Question Number	Which **one** of the following represents a star product on the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - High market growth, high market share** **B** is not the correct answer as it is a question mark product **C** is not the correct answer as it is a cash cow product **D** is not the correct answer as it is a dog product	**(1)**

Question Number	Which **one** of the following is the method of production where one unit of output is completed at a time? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Job** **A** is not the correct answer as lean is focussed on cutting out waste **B** is not the correct answer as flow is continuous production of the same product **C** is not the correct answer as batch is the production of a batch of one unit before moving on to the next	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 6 of 7 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 · extract 2 of 6 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is a current asset? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - cash** **A** is not the correct answer as a vehicle is a non-current asset **C** is not the correct answer as a building is a non-current asset **D** is not the correct answer as a factory is a non-current asset	**(1)**

Question Number	Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C - €630.95** **A** is not the correct answer as €22.56 is £26.50 x €0.84 **B** is not the correct answer as €445.20 is (£26.50/€0.84) x 20 **D** is not the correct answer as €513.20 is (£26.50 - €0.84) x 20	**(1)**

Question Number	Which **one** of the following is the total monthly cost for *PPS*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A - €692.50** **B** is not the correct answer as €931.50 is €54 x €17.25 **C** is not the correct answer as €2137.50 is (€54 + €17.25) x 30 **D** is not the correct answer as €2312.50 is ((€54 + €17.25) x 30) + 175	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 6 of 7 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 · extract 3 of 6 · find part a.vi in this mark scheme extract

Question Number	Define the term **robotics.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **robotics**. • Robots carry out manufacturing process with no human involvement **(1)**	**(1)**

Question Number	Define the term **capital intensive production** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **capital intensive production**. • Production methods that use machinery more than labour **(1)**	**(1)**

Question Number	State **one** extension strategy *PPS* could use to extend the life cycle of the pet accessories. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for an extension strategy *PPS* could use to extend the life cycle of its pet accessories. • *PPS* could change the design of a dog jacket **(1)** • *PPS* could redesign UK dog collars **(1)** **NB** Do not accept an extension strategy that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 6 of 7 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 · extract 4 of 6 · find part a.vi in this mark scheme extract

Question Number	Calculate the new hourly minimum wage after the increase of 3.5%. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 7.45 x 0.035 = 0.26 **(1)** 7.45 + 0.26 = 7.71 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** reason why many businesses have a human resource function. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses have a human resource function, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • To recruit employees **(1)** by identifying a vacancy in the business **(1)** and finding the right person for that vacancy **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 6 of 7 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 · extract 5 of 6 · find part a.vi in this mark scheme extract

Question Number	Analyse the usefulness of the gross profit margin to *PPS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The gross profit margin in 2022 was 25.6% and in 2023 29.4% • Between 2022 and 2023 the GPM increased by 3.80% **AO3** • *PPS* can see that the increase indicates a healthy financial position with a positive increase and this may help in business decisions they have to make for following years • Figures such as this can be used to compare year on year performances and check changes in profitability	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Total cost from fixed and variable costs

Answer 6 of 7 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 · extract 6 of 6 · find part a.vi in this mark scheme extract

Question Number	State **one** advantage for *PPS* of keeping its customers loyal. **Answer**	**Mark**

Type MS · Total cost from fixed and variable costs

Answer 7 of 7 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 7 of 7 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part a.iii in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 7 of 7 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part a.iii in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 7 of 7 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part a.iii in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 7 of 7 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part a.iii in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Total cost from fixed and variable costs

Answer 7 of 7 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part a.iii in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**